DOLCEVITA

PREPARED EXCLUSIVELY FOR HH PRINCE ABDULAZIZ BIN FAHD BIN ABDULLAH — FAMA HOLDINGS

Sunset Beach Resort Marina & Spa

Management & Luxury Repositioning Proposal

LOCATION

Al Khobar, Eastern Province, Kingdom of Saudi Arabia

DATE

March 2026

PRESENTED BY

Sophos Hotels

CLASSIFICATION

Confidential — For Intended Recipient Only

CONFIDENTIAL

THE VISION

Transforming the Eastern Province's most iconic coastal estate into the Kingdom's premier luxury waterfront destination.

Sunset Beach Resort sits on irreplaceable land — a private peninsula with 360-degree waterfront access, a marina, and direct proximity to Bahrain. Its physical DNA is extraordinary.

This proposal outlines how we will unlock that potential — first through operational excellence, then through strategic redevelopment — creating enduring value for generations.

DOLCEVITA

THE OPPORTUNITY

An Irreplaceable Asset, Ready to Be Unlocked

253	3	360°	7–9 km
KEYS / UNITS	PRIVATE BEACHES	WATERFRONT ACCESS	TO BAHRAIN CAUSEWAY

RESORT FACILITIES

- 3 restaurants & dining venues
- Event & conference hall
- Aqua park & 2 spas
- Marina & sports facilities
- Private peninsula location

STRATEGIC POSITION

- GCC pioneer — luxury resort since 1970s
- 10 km from Al Khobar city center
- 4-hour drive from Riyadh
- Direct Bahrain corridor access
- Vision 2030 tourism alignment

OUR APPROACH

Operations First.
Then Invest with Confidence.

A phased approach that proves the asset's commercial potential before committing to large-scale capital expenditure. Each phase builds on the last — creating real data, real reputation, and real returns that inform every subsequent decision.

PHASE 1
Takeover & Transformation
Months 0–12

PHASE 2
Development & Pre-Opening
Months 13–36

PHASE 3
Full Management & Brand Guardianship
15 Years

> This approach provides real performance data to size any future investment accurately — perhaps SAR 2.26B is not needed, perhaps less achieves the same result. It places operators who deeply understand the property at the center of the future investment plan.

PHASE 1 — MONTHS 0 TO 12

Operational Takeover & Luxury Transformation

MANAGEMENT

- Day to day management and operations of the Sunset Beach Resort & Residence.
- Establishing operational policies and Standard Operating Procedures (SOPs)
- Design and execute a new commercial and marketing strategy to ensure optimal reach to targeted segments.
- Strengthen Online presence and overall visibility: Hotel or brand website, Online Booking Integration, social media, etc...
- Establishment of recruitment and training plans to qualify and develop national talents in line with international benchmarks.
- Organize the operations staffing structure and overall framework.
- Evaluate all costs and expenses, take necessary actions to reduce them without affecting the overall service quality.
- Implementation of governance and quality assurance systems to monitor performance and secure optimal results.

CONSULTANCY SERVICES

- Development of the future strategic concept and positioning that reflect the project's identity and meet market needs.
- Built a Business Plan according to the desired concept approach.
- Facilitate negotiations with International Brands.
- Built an Area Program, respecting International standards and/or selected brand requirements.
- Provide our expertise into giving you the appropriate recommendations for development management, design review, project management, and cost control during this phase.

PHASE 2 — MONTHS 13 TO 36

Design, Technical Services & Operational Integration

Working alongside the design teams, we will:

MASTER PLAN & ARCHITECTURAL REVIEW

- Review master plans, site plans and circulation (guest, staff, logistics, services).
- Ensure efficient zoning of rooms, public areas, aqua park, residences, BOH, parking and access.

CONFIGURATION & SPACE PLANNING

- Confirm and fine-tune the number of keys and their mix (standard rooms, suites, special units, branded residences).
- Optimize public areas, F&B outlets, meeting rooms, spa, aqua park and kids' areas in line with target segments and revenue strategy.
- Validate and improve BOH areas (receiving, storage, kitchens, laundry, staff facilities) for operational efficiency.

INTERIOR DESIGN INTEGRATION

- Review interior design concepts and layouts for rooms, corridors, F&B, meeting rooms and public spaces.
- Ensure that functional, emotional and brand requirements are all met.
- Advise on signage concepts (external and internal) that support navigation, safety and commercial flows.

GUEST JOURNEY FLOWS & EXPERIENCE BLUEPRINTS

- Map physical and emotional guest flows: arrivals, circulation to rooms, F&B, wellness, kids' activities, etc...
- Identify friction points and re-design them into opportunities for delight and revenue (e.g. upgrade moments, cross-sell touchpoints, intuitive signposting toward high-margin venues).
- Develop experience blueprints that link design, staffing, SOPs and technology to the desired emotional outcome and commercial KPIs (ADR, TRevPAR, upsell conversion, repeat and referral rates).

FOOD & BEVERAGE INFRASTRUCTURE DESIGN

- Review and optimize layouts for restaurants, bars, cafés, banqueting and support areas.
- Define preliminary F&B equipment lists and functional zoning (kitchens, cold rooms, bars, counters, dishwashing, storage).
- Support evaluation and recommendation of key F&B equipment and suppliers.

INFORMATION TECHNOLOGY & SYSTEMS

- Advise on the hotel's IT backbone, including PMS, POS, reservations and distribution connectivity.
- Review requirements for network, back-office systems, telephony, CCTV, key systems, TV, payment solutions and guest internet.
- Ensure AV systems for meeting rooms and event spaces are aligned with the market positioning and revenue plan.

CONSTRUCTION SUPPORT & PROJECT MONITORING

- Provide technical assistance visits at key stages.
- Review detailed drawings and design modifications for operational and brand compliance.
- Flag risks early and propose corrective actions.

PHASE 2 — MONTHS 13 TO 36

PreOpening Preparation, Guest Experience & Commercial Launch

We will support the project through pre-opening and launch by focusing on:

PRE-OPENING PROJECT MANAGEMENT

- Develop pre-opening critical paths and milestone plans.
- Coordinate with project stakeholders.
- Monitor readiness and manage risk items.

ORGANIZATION & STAFFING

- Organizational structures and key positions
- Defining job profiles and recruitment priorities.

COMMERCIAL STRATEGY & LAUNCH PLAN

- Set up a residential sales roadmap (lead generation, events, site-visits, closing) and a resort launch plan (pricing, distribution, partnerships).
- Link marketing and digital strategies to specific KPIs (direct booking ratio, unit sales, upsell ratios, campaign ROIs).

GUEST EXPERIENCE, SERVICE DESIGN & CULTURE ACTIVATION

- Create concrete guest journeys and service scenarios for each segment
- Design service rituals and interaction techniques at key revenue moments.
- Use the Learn by Being™ model to train leaders and teams on the floor.
- Deploy GX tools to monitor guest and team culture and relate these metrics to revenue KPIs (ADR, TRevPAR, upsell conversion, repeat and referral rates).

PRE-OPENING READINESS AUDITS

- Conduct readiness checks for rooms, public areas, systems and teams.
- Provide final recommendations and action plans prior to soft opening.

PHASE 3 — 15 YEARS

Full Management & Brand Guardianship

Long-term operational management under a Hotel Management Agreement, with continuous luxury quality assurance and brand guardianship ensuring Sunset Beach maintains its position as the Eastern Province's premier destination.

HOTEL MANAGEMENT

- Full operational management per HMA terms
- Continuous performance optimization
- Revenue management & cost control
- Technology & systems evolution

LUXURY QUALITY ASSURANCE

- Ongoing brand guardianship & standards monitoring
- Periodic luxury service training refreshers
- Guest experience audits & improvement programs
- Reputation management & KPI tracking
- Ongoing staff training & talent development

Contract Term: 15 years initial term, renewable for an additional 5 years upon mutual consent. Management fees structured as Base Fee (% of Gross Revenue) plus Incentive Fee (% of Adjusted Gross Operating Profit), aligning operator performance with owner returns.
DolceVita Fee: $5,777/month for luxury quality assurance & brand guardianship.

KEY DELIVERABLES

Comprehensive Scope by Phase

DELIVERABLE	PHASE 1	PHASE 2	PHASE 3
Day-to-day resort management & operations	•	•	•
SOPHOS, governance & quality systems	•	•	•
Sales, marketing & distribution strategy	•	•	•
Luxury guest experience design & service culture	•	•	•
Brand repositioning & identity development	•	•	—
Leadership coaching & luxury training programs	•	•	•
Strategic concept & business plan development	•	—	—
International brand negotiations	•	•	—
Architecture & design coordination	—	•	—
IT systems, PMS & technology infrastructure	—	•	•
Pre-opening management & readiness audits	—	•	—
Brand guardianship & quality assurance	•	•	•

FINANCIAL PROPOSAL

Investment Summary

PHASE	DURATION	MONTHLY FEE	PHASE TOTAL	SCOPE
Phase 1	Months 0–12	$16,083	$193,000	Operational management, luxury brand repositioning, guest experience design, service training, quality assurance, strategic consultancy
Phase 2	Months 13–36	$12,833	$308,000	Technical advisory, pre-opening, brand development, architecture coordination, guest experience & commercial launch
Phase 3	15 Years	$5,777 + HMA Fees	$69,324/yr + Variable	DolceVita luxury quality assurance & brand guardianship ($5,777/mo) + Sophos Hotels management fees

MANAGEMENT AGREEMENT FEES (PHASE 2 ONWARDS)

- **Base Fee:** 2.00% GR (Yr 1–2), 2.75% (Yr 3–5), 3.50% (Yr 6+)
- **Incentive Fee:** 0–7% of AGOP based on GOP performance tiers

NOTES

- The Master Plan and Vision Concept are **not included** within the proposed scope and fee structure and will be subject to a separate agreement
- DolceVita Hospitality will introduce its associate Italian architecture & design studio to lead the creative vision, concept development, and masterplan for the resort's repositioning — subject to a separate engagement
- Phase 2 fees are indicative and subject to refinement based on Phase 1 operational findings, asset condition assessment, and the agreed scope of redevelopment
- Travel & direct expenses charged at cost
- All fees payable monthly from date of signing
- Taxes: each party responsible for its own income taxes

NEXT STEPS

We Invite FAMA Holdings to Proceed

01

Review & Align

Review this proposal with your team. We welcome the opportunity to present in person and address any questions directly with His Highness.

02

Sign Letter of Engagement

Upon alignment, execute the Letter of Engagement formalizing the partnership terms, scope, and commercial framework outlined herein.

03

Mobilize Within 30 Days

Our joint team begins on-site assessment and operational takeover within 30 days of signing, with Phase 1 deliverables initiated immediately.

Validity: The commercial terms in this proposal are valid for a period of 30 days from the date of presentation. This proposal has been prepared in good faith and forms the basis for a future formal agreement between the parties.

DOLCEVITA

Crafted with distinction for
His Highness Prince Abdulaziz bin Fahd bin Abdullah
& FAMA Holdings